

WORLD TRADE ORGANIZATION

S/L/95
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Council for Trade in Services

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CERTIFICATION

Schedule of Specific Commitments in Basic Telecommunications of: Brazil

Notification of Objection from Hong Kong, China

The following communication has been received from the delegation of Hong Kong, China concerning the certification of Brazil's Schedule of Specific Commitments in Basic Telecommunications (S/C/W/191).

Hong Kong, China would like to refer to the Secretariat's communication of 26 April 2001 (S/C/W/191) seeking certification of Brazil's revised Schedule of Commitments in Basic Telecommunications.

It is our understanding that Brazil would like to initiate the certification procedure in accordance with the "Procedures for the Certification of Rectifications or Improvements to Schedules of Specific Commitments" (the "Procedure") (S/L/84). However, we note that Brazil's revised offer contains some substantial revisions to its original offer made in the last round of negotiations on basic telecommunication services which led to the conclusion of the Fourth Protocol to the GATS. Hong Kong, China appreciates that some improvements to the original offer are contained in the current offer. In the meantime, the revision also includes, *inter alia*, a new horizontal limitation imposed on foreign participation in the capital composition of telecommunications service providers by the executive branch, which would have serious systemic implications on the original commitments undertaken in respective basic telecommunication services sectors. In view of the complexity and uncertainty of the overall implication entailed by all the proposed revisions, Hong Kong, China considers that the present request for certification is at variance with the provision of the "Procedures", which are intended for those modifications arising from "new commitments, improvements to existing ones, or rectifications or changes of a purely technical character that do not alter the scope or substance of the existing commitments".

Hong Kong, China considers that further substantive discussion on the current offer would be useful.
